ANSWER KEY & MARKING SCHEME SET A

Chapter 13: **Managing Your Personal Finances** | Class 9 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(d)** ₹540	principal + interest for one year
2	**(a)** ₹500	5% of 10,000
3	**(a)** ₹6,000	36,000 − 30,000
4	**(b)** ₹20,000	5% of ₹4 lakh
5	**(b)** income	regular receipt of money
6	**(c)** saving	financial surplus
7	**(b)** compounding	interest on interest
8	**(a)** a part-owner of the company	equity
9	**(d)** losses from disasters, pests and price changes	general insurance
10	**(a)** Both A and R are true and R is the correct explanation of A	pooled premiums

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	The planning and management of an individual's money to meet needs and wants, including how much to spend, save and invest (2).	2
12	Income, budgeting, saving, investing, and protection and risk management (2).	2
13	A written plan that balances income and expenses (1); it controls unnecessary spending (1).	1+1
14	Income, costs and goals change, for example rising transport costs, so regular review keeps it realistic (2).	2

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Income is money received regularly or occasionally for goods sold or services rendered (1); salary of a teacher, profit of a shopkeeper, rent from property (2).	1+2
16	What do I want to achieve? How much money will I need? By when? What steps will help me reach it? (3/4 mark each, awarded as 3).	3
17	Identify expenses (¾); set a savings goal (¾); track spending (¾); review and adjust the budget (¾).	3
	OR: ₹3,000 ÷ 6 = ₹500 per month (1½); a clear goal with an amount and date motivates regular saving (1½).	1½+1½
18	Life is uncertain and emergencies arise (1½); even small regular savings build a surplus for future needs and investments (1½).	1½+1½
	OR: Priya still has ₹500 (1); Sameer has ₹540 (1); investing earned a return and protects against inflation (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	(i) Planning and managing an individual's money for needs and wants (1). (ii) Income: salary; budgeting: monthly plan for rent and food; saving: money set aside for emergencies; investing: buying a bond or FD; protection: health insurance (4).	1+4
	OR: (i) A written plan balancing income and expenses (1). (ii) Identify expenses, set a savings goal, track spending, review and adjust (2). (iii) Controls unnecessary spending, helps live within means and prioritise (2).	1+2+2
20	(i) ₹80,000 (1). (ii) About ₹14,080 (1). (iii) Compounding (1). (iv) It ensures money is kept for future needs and emergencies before spending (2).	1+1+1+2
	OR: (i) Idle money earns nothing while prices rise (1). (ii) A ₹1,000 bag costs ₹1,060 next year at 6% inflation, so the same money buys less (2). (iii) Investments earn returns that can beat inflation (2).	1+2+2

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option

attempted. Deduct up to ½ mark for missing units or figures where required.

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ANSWER KEY & MARKING SCHEME SET B

Chapter 13: **Managing Your Personal Finances** | Class 9 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(b)** ₹2,100	principal + interest for one year
2	**(c)** ₹21,200	20,000 + 1,200
3	**(c)** ₹80,000	save first, spend the rest
4	**(a)** ₹9,00,000	salary − deduction
5	**(c)** budget	budgeting
6	**(c)** investing	wealth growth
7	**(a)** compounding gave her money more time to grow	the power of early investing
8	**(d)** 30 large and actively traded companies	benchmark index
9	**(a)** health insurance to eligible low-income households	health cover
10	**(d)** A is false but R is true	A is false; shares are risky

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	To meet emergencies and future needs and to invest in assets (2).	2
12	Saving is keeping aside part of income (1); investing puts savings into assets to earn returns (1).	1+1
13	A rise in prices over time (1); the same money buys fewer goods, so purchasing power falls (1).	1+1
14	Returns earned not only on the principal but also on the returns already earned, so money grows faster over time (2).	2

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	A bag costing ₹1,000 may cost ₹1,060 after a year at 6% inflation (1½); money lying idle buys less, so purchasing power falls (1½).	1½+1½
16	Both save ₹1,000 yearly at 7%, but Bhavisha starts at 25 and Dhruv at 35 (1); returns earn further returns over a longer time, so Dhruv has only about 40% of her amount at 65 (2).	1+2
17	FDs give fixed, assured interest for a fixed period (1½); PPF, NSC and Sukanya Samriddhi Yojana are government-backed safe long-term schemes (1½).	1½+1½
	OR: Interest ₹500 and total ₹10,500 (1½); the government is less likely to default than a company (1½).	1½+1½
18	Share prices fluctuate with market conditions, company performance and the economy (1½); over the long term they can give higher returns through dividends and price rise (1½).	1½+1½
	OR: Money is pooled and invested by professional fund managers (1½); diversification across assets reduces risk, though returns are not guaranteed (1½).	1½+1½

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	(i) Both save ₹1,000 yearly at 7%, starting at 25 and 35; Bhavisha has about ₹1,99,635 and Dhruv about ₹94,460 at 65 (2). (ii) Returns earn returns, so growth accelerates (2). (iii) Start investing early (1).	2+2+1
	OR: (i) FD: fixed assured interest; bond: loan to government or company with interest; shares: ownership with dividends and price changes; mutual fund: pooled and diversified (4). (ii) FD and government bonds lowest, mutual funds moderate, shares highest (1).	4+1
20	(i) Time horizon and liquidity (1). (ii) A fixed deposit (1). (iii) Share prices may fall in the short term (1). (iv) Lower risk gives lower return and higher risk gives higher potential return (2).	1+1+1+2
	OR: (i) A contract for compensation against specified losses on payment of a premium (1). (ii) Risk sharing through a common pool of premiums (1). (iii) Health: medical expenses; life: support to family on death; general: vehicles, property, crops, cattle (3).	1+1+3

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

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